FORWARD VS FUTURES

same idea, different market!

Strategic Financial Management

IN SIMPLE WORDS *Both fix today the price for buying or selling later. Forward is a private deal; futures is an exchange deal.*

1 FORWARD CONTRACT

A customised agreement between two parties, made over the counter, to buy or sell an asset at a fixed price on a future date.

private deal, tailor-made

2 FUTURES CONTRACT

A standardised contract traded on an exchange to buy or sell an asset at a fixed price on a future date, with daily settlement.

exchange deal, readymade

1. Both are derivatives: value comes from an underlying asset
2. Both lock in a price today for delivery or settlement later
3. Forward has counterparty risk; futures risk is covered by the clearing house
4. Futures are marked to market daily; forwards are usually settled only at maturity



Swipe for the summary →

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THE 5-POINT COMPARISON

Forward vs Futures Contracts

learn it row by row

POINT	FORWARD	FUTURES
Where traded	Over the counter	Recognised exchange
Terms	Customised	Standardised
Default risk	Higher (counterparty)	Low (clearing house)
Margin / daily MTM	Usually none	Margin and daily MTM
Settlement	Mostly on maturity date	Daily; often closed out early

FORWARD = TAILOR, FUTURES = READYMADE! Forward fits your exact need but carries default risk; futures is standard but safer and easy to exit.

Swipe for a memory trick ⟶

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STUDY TRICK

Forward vs Futures Contracts

think tailor vs readymade shop

FORWARD = TAILOR, FUTURES = MALL

Tailor stitches to your size, no guarantee he delivers (customised, default risk). Mall sells standard sizes with a guarantee (exchange, clearing house).

HOW TO ATTEMPT IT

1 Read: exchange or private deal? → 2 Check: standard or customised terms? → 3 Look for margin and daily MTM → 4 Identify who bears default risk → 5 Write the point-wise comparison

EXAM TIP

In comparison questions, write at least 5 points in a table: market, terms, risk, margin, settlement.

DOUBT BUSTER

Can a forward contract be traded on an exchange? No. Forwards are over-the-counter and customised. Exchange trading with standard terms is the feature of futures.

Swipe for common mistakes →

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COMMON MISTAKES

Forward vs Futures Contracts

avoid these slips

✗ Futures are customised to the buyer's needs

✓ Futures are standardised in lot size, expiry and quality; customisation belongs to forwards.

✗ Forward contracts need daily margin and MTM

✓ Daily margin and mark-to-market are features of futures; forwards usually have none unless agreed.

✗ Both have the same default risk

✓ Forward has counterparty risk; in futures the clearing house guarantees performance, so default risk is low.

Save this for revision!

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